PocketCA Reference Manual: Indian Goods & Services Tax (GST) Guide

An Authoritative Practitioner Reference on GST Act, Rate Slabs, Input Tax Credit (ITC), RCM, and Returns Compliance.

1. Framework of Indian GST (CGST, SGST, IGST)

India implemented GST on 1st July 2017 as a destination-based, multi-stage, comprehensive indirect tax subsuming VAT, Service Tax, Central Excise, and Octroi.

- **Intra-State Supply (Location of Supplier and Place of Supply in the same State):** Subject to Central GST (CGST) and State GST (SGST) or UTGST in equal proportions (e.g., 18% GST = 9% CGST + 9% SGST).
- **Inter-State Supply (Supplier and Place of Supply in different States/UTs, or Imports/Exports):** Subject to Integrated GST (IGST) collected by Central Government.
- **Threshold for Registration:** Goods: ■40 Lakhs annual turnover for normal category states (■20 Lakhs for special category states). Services: ■20 Lakhs annual turnover (■10 Lakhs for special category states).

2. Standard GST Rate Slabs & HSN/SAC Classification

Rate Slab	Typical Goods Covered	Typical Services Covered	ITC Status
0% (Nil)	Fresh milk, vegetables, unbranded grains, salt	Basic postal services, schooling, public health	Exempt (No ITC)
5%	Packaged food items, medicines, tea, coffee, coal	Railway passenger (AC), small restaurants, transport	Full ITC available
12%	Computers, processed food, apparel above ■1000	Business class air travel, state lotteries	Full ITC available
18%	Capital goods, IT hardware, industrial machinery, soaps	IT & software services, CA/legal consulting, telecom	Standard Rate (Full ITC)
28% + Cess	Motor vehicles, luxury cars, tobacco, aerated drinks	Casinos, race clubs, luxury hotel rooms (>■7,500)	Eligible (subject to 17(5))

3. Input Tax Credit (ITC) Rules under Section 16 & Section 17

ITC allows registered businesses to deduct the tax already paid on purchases (Input GST) from the tax collected on outward supplies (Output GST).

Four Mandatory Conditions to Claim ITC (Section 16(2)):

1. Possession of tax invoice or debit note issued by the supplier.
2. Actual receipt of goods or services.
3. Tax charged on the supply has been actually paid to the Government by the supplier (and reflected in Buyer's GSTR-2B).
4. The buyer must have filed the monthly GST return (GSTR-3B).

- **180-Day Payment Rule (Second Proviso to Sec 16(2)):** If the recipient fails to pay the supplier the invoice value and tax within 180 days from the invoice date, the ITC claimed must be reversed along with 18% interest.
- **Blocked Credits under Section 17(5):** No ITC can be claimed on motor vehicles for passenger transport seating <= 13 persons (unless used for further supply, driving training, or transport of passengers), food & beverages, outdoor catering, beauty treatment, health insurance, membership of a club/gym, and goods lost, stolen, destroyed or written off.

4. Reverse Charge Mechanism (RCM) - Sections 9(3) & 9(4)

Under RCM, the liability to pay GST is shifted from the supplier to the recipient of goods or services. Key supplies covered under RCM include:

- Goods Transport Agency (GTA) services supplied to registered business entities (5% without ITC or 12% with ITC).
- Legal services provided by an individual advocate or senior advocate / firm of advocates.
- Services provided by a director to the company/body corporate.
- Sponsorship services provided to any body corporate or partnership firm.
- Renting of residential property to a registered person for business purposes.

Important Rule: Tax under RCM MUST be paid in CASH through electronic cash ledger; electronic credit ledger (ITC) CANNOT be used to pay RCM liability. However, once paid, the taxpayer can claim ITC on the RCM paid in the same or subsequent month.

5. GST Returns Architecture & Compliance Calendar

Every regular registered taxpayer must adhere to the following statutory return filing cycles:

- **GSTR-1:** Outward supplies of taxable goods/services. Monthly due date: 11th of succeeding month (or 13th for QRMP quarterly filers).
- **GSTR-2B:** Static auto-drafted ITC statement generated on 14th of each month reflecting eligible and ineligible ITC based on suppliers' GSTR-1.
- **GSTR-3B:** Monthly summary return for payment of tax and claiming ITC. Due date: 20th of the following month (or 22nd/24th for QRMP filers depending on state).
- **GSTR-9:** Annual Return for regular taxpayers having turnover > ■2 Crores. Due date: 31st December of the next financial year.
- **GSTR-9C:** Self-certified reconciliation statement for taxpayers having aggregate turnover > ■5 Crores.
- **CMP-08:** Quarterly statement for Composition Scheme dealers (1% for traders/manufacturers, 6% for service providers). Due date: 18th following the quarter.

6. E-Way Bill Regulations & Penalties

An E-Way bill is an electronic document generated on the e-way bill portal evidencing movement of goods.

- Mandatory for consignment value exceeding ■50,000 in inter-state movement (and intra-state as notified by respective states).
- Validity: 1 day for every 200 km (for normal cargo) or 1 day for every 20 km (for over-dimensional cargo).
- Penalties: Late fee under Sec 47 is ■50/day (■25 CGST + ■25 SGST) or ■20/day for Nil return, subject to maximum caps. Interest under Sec 50 for late payment of tax is 18% per annum.